Sri Sathya Sai Institute of Higher Learning

Brindavan Campus

MBAG – 301

Business Strategy

Assignment

Company Analysis using Porter's Value Chain Analysis & Business Model Canvas

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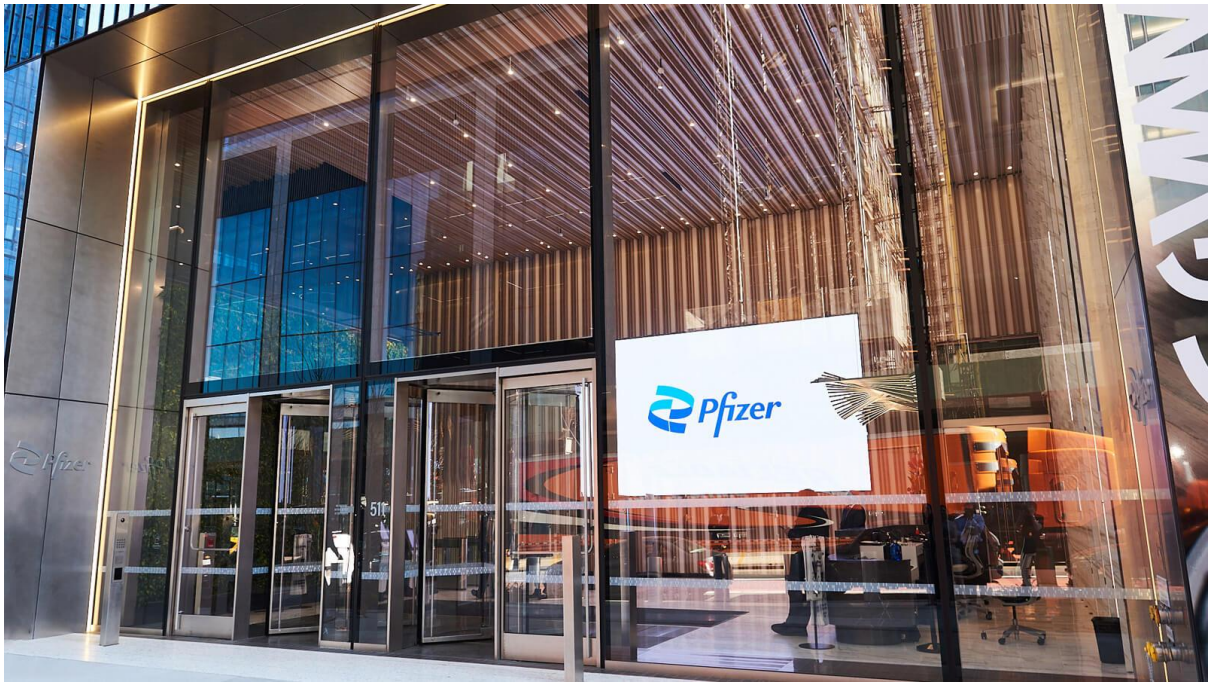
Company Background

Pfizer Inc., founded in 1849, is a global biopharmaceutical company headquartered in New York. As of 2024, Pfizer employs over 80,000 personnel worldwide and generated $63.6 billion in revenue, having touchpoints of approximately 414 million patients globally. The company focuses on discovering, developing, manufacturing and marketing medicines and vaccines across multiple therapeutic areas such as Oncology, Immunology, Cardiology and Rare diseases.

In December 2023, the company acquired Seagen with a business deal of $43 bullion, and this has significantly strengthened its oncology portfolio and thus operates as one of the leading cancer treatment innovators.

In 2025, the company's strategy focused on four key priorities: Directing R&D investments to impactful opportunities, expanding margins through cost optimization, accelerating growth in priority products and geographics and improving free cash flow for balanced capital allocation



Porter's Value Chain Analysis

Primary Activities

Inbound Logistics

- Operates a sophisticated procurement and supply chain network, balancing local manufacturing with global sourcing:
    - ***Global Sourcing Network*:** 300 external suppliers worldwide, ensuring reliable access to raw material, APIs, and packaging materials, reducing supply chain disruption risks. to manage the operations of the global 58 manufacturing facilities. Deals with approx. 37 specialised API manufacturers, with the top 5 controlling 65% of the market.
    - ***Quality Control Systems*:** All incoming materials undergo rigorous quality testing, aligned with regulatory requirements. The company utilizes advanced data analytics across its supply chain for traceability and security.
    - ***JIT systems:*** Balances the need for continuous production with cost efficiency. Leverages AI to optimize safety stocks while minimizing carrying costs.
- **Competitive Differentiation**: Pfizer's extensive supplier relationships and commitment to supply chain security position the company to respond rapidly to demand fluctuations and maintain uninterrupted production—a critical advantage in the pharmaceutical industry where medicine shortages can have life-threatening consequences.

Operations

- Pfizer's manufacturing operations span across 58 state of the art facilities worldwide producing over 30 billion doses annually for patients in 125+ countries.
    - ***Advanced Manufacturing techniques:*** Techniques used for producing from small molecule production to complex biologics, sterile injectable hospital products, vaccines etc. It combines AI, ML and supercomputing for process optimization.
    - ***Good Manufacturing Practices:*** Pfizer follows GMP and maintains rigorous quality control measures ensuring all products meet the highest quality standards, safety and efficacy.
    - ***Process Innovation:*** The company has reduced vaccine production time from 110 days to 60 days through process optimization and parallel production pathways rather than sequential process. This operational efficiency provides significant time-to-market advantages.
- **Competitive Differentiation:** Pfizer's manufacturing network combines scale, technological sophistication, and quality consistency that creates significant barriers to entry. The capital requirements, expertise, and regulatory approvals needed to replicate Pfizer's operations represent a substantial competitive moat.

Outbound Logistics

- ***Sophisticated Distribution Networks:*** 11 distribution hubs located worldwide, combined with partnerships with major distributors - McKesson, Cardinal Health and AmerisourceBergen - comprehensive market coverage while maintaining efficiency.
- ***Cold Chain Leadership:*** Pfizer has developed detailed plans that support the transport and delivery of specialized products such as vaccines by partnering with agencies and firms with cold-chain capabilities.
- ***Digital Supply Chain Management:*** Pfizer's Digital Operations Centre employs IoT devices, cloud analytics and AI to provide end-to-end supply chain visibility, enabling real-time tracking, predictive analytics and automated alerts for temperature-controlled deliveries during emergencies.
- ***Direct-to-Physician Model:*** For select products, Pfizer bypasses traditional middle parties and delivers it directly to provider offices, improving margins while also ensuring rapid market access.
- ***Last-Mile Solutions:*** Partnership with Zipline enables Pfizer to access remote locations using drone technologies for product delivery.
- **Competitive Differentiation:** Pfizer's cold chain expertise, digital supply chain capabilities, and flexible distribution models create significant competitive advantages, particularly for complex biologics and vaccines that competitors struggle to distribute effectively.

Marketing & Sales

- Pfizer employs a multi-fold marketing approach integrating digital and traditional channels to reach healthcare providers, payers and patients.
    - ***Digital Marketing Strategies:*** Includes content marketing, search engine optimization, paid advertising, email campaigns. 5 million+ unique visits to digital platforms was observed in 2023. AI powered dynamic and targeting optimizes media spend and increases reach.
    - ***Patient Centric Marketing:*** Patient advocacy programs, disease awareness campaigns, support communities builds brand loyalty and treatment adherence, creating emotional connections for long-term relationships.
    - ***Direct to Consumer Innovation:*** Pfizer launched PfizerForAll.com, a pioneering D2C platform that offers telehealth, online prescription fulfillment, patient education resources and financial assistance.
    - ***Medical Education & Thought Leadership:*** Invests heavily in medical education, sponsors research and participates in over 30 major healthcare conferences annually, positioning Pfizer as a evidence-based, scientifically-validated solutions.
- **Competitive Differentiation:** Pfizer's integrated omnichannel approach combining field sales excellence, digital innovation, and patient-centric marketing creates a comprehensive commercial engine. The company's brand equity—built over 175 years—provides immediate credibility for new product launches that emerging biotechs lack.

Service

- Pfizer provides comprehensive customer support and patient support programs, adhering to post-sale needs.
    - ***Comprehensive Patient Support Programs:*** Pfizer RxPathways offers an array of services - free medicines for eligible patients, a co-pay assistance program, insurance navigation support systems, etc.
    - ***Medical Information Services:*** Pfizer maintains a 24/7 Medical Information Contact Centre staffed by healthcare professionals providing detailed product information, adverse event reporting, and clinical guidance.
    - ***Patient Education and Adherence Support:*** Pfizer provides disease-specific education materials, treatment diaries, dose reminder applications and adherence coaching. Improved adherence drives better patient outcomes and reduces healthcare system costs.
    - ***Field Reimbursement Mangers and Patient Access Coordinators:*** Navigate insurance coverage, appeals processes and alternative payment options. Reduces admin burden, thereby enabling Pfizer to make prescribing its products easier for busy clinicians.
- **Competitive Differentiation:** Pfizer's comprehensive service infrastructure—from patient assistance to medical information to adherence support—creates switching costs that lock in patients and providers. Generic competitors typically lack these services, making Pfizer products more valuable despite higher prices.

Support Activities

Firm Infrastructure

- ***P***fizer's corporate infrastructure encompasses management, finance, legal, quality control, and strategic planning functions headquartered in New York.
    - ***Robust Financial Management:*** With $63.6B in revenues and adjusted diluted EPS of $3.11 in 2024, Pfizer demonstrates financial discipline that funds $10.8B in annual R&D while returning capital to shareholders through $9.5B in dividends.
    - ***Quality Management Systems:*** Ensures consistent compliance with FDA, EMA and other regulatory bodies. Quality infrastructure - from supplier audits to post-market surveillance - minimises recalls and regulatory warnings that plague smaller companies.
    - ***Risk Management:*** Sophisticated Risk Management frameworks are used to identify, mitigate and reduce financial, legal, operational and reputational risks. Early warning systems, scenario planning, and business continuity plans protect the enterprise from disruptions.
    - ***Corporate Governance:*** Transparent governance structures, ethical business practices and stakeholder-focused management creates the trust among stakeholders. Fortune World's Most Admired Companies has included Pfizer in its list, reflecting strong institutional reputation.

- **Competitive Differentiation:** Pfizer's infrastructure combines scale, expertise, and systems that would take competitors decades to replicate. This institutional capability enables complex global operations that smaller firms cannot execute effectively.

Human Resource Management

- Pfizer has approx. 81K employees worldwide as of 2024, with over 14K working in manufacturing in Europe alone.
    - ***Talent Acquisition Excellence:*** Attracts top scientific, medical and commercial talent through competitive compensation, meaningful work and career development opportunities.
    - ***Learning & Development Infrastructure:*** 4 separate learning management systems are unified into a single platform, improving training efficiency and employee experience. Pfizer Learning Academy offers ML powered personalized learning paths.
    - ***"OWN IT! Culture:*** Encourages employees to take ownership, deliver commitments and take calculated risks in a supportive environment, creating innovation and agility. The company's HR team rated the overall culture with 83/100, 11% higher than company average
    - ***Diversity & Inclusion Leadership:*** Pfizer ranks among the top 10 global corporations in diversity and inclusion, bringing varied perspective and improving quality of decision making.
- **Competitive Differentiation:** Pfizer's investment in human capital development, combined with its employer brand and scale, creates a talent advantage. The company can attract expertise that smaller biotech firms cannot afford, while offering career progression opportunities that large organizations enable.

Technology Development

- Pfizer invests heavily in R&D, process innovation and digital transformation to drive product and operational improvements.
    - ***AI-Powered Drug Discovery:*** The OncoScout platform uses AI to screen millions of compounds, identifying cancer drug candidates with 25-30% success probability, improving R&D productivity and accelerating timelines.
    - ***Strategic Partnerships:*** Ignition AI Accelerator, NVIDIA Collaboration and partnership with Saama's expanded AI integration accelerate drug discovery, improve operational efficiency and streamline regulatory submissions
    - ***Digital Transformation:*** Migrated 12,000 applications and 8,000 servers to the cloud in 42 weeks, creating a unified data architecture. PACT initiative with AWS saves 16,000 scientist hours annually and reduces infrastructure costs by 65%.
    - ***Manufacturing Innovation:*** Pfizer is targeting $1.5B in net cost savings by 2027 through yield improvements and cycle time reductions by investing in process engineering, automation and analytics.

- **Competitive Differentiation:** Pfizer's R&D capabilities combine scientific expertise, enabling technologies (AI, mRNA platforms, ADC technology), and strategic partnerships that create a sustainable innovation engine. The company's Phase II success rate improved from 5% (2016) to 53% (2020), demonstrating enhanced R&D productivity that outpaces industry benchmarks (~30%).

Procurement

- Pfizer operates through centralized global category teams supported by regional and in-market operational presence.
    - ***Global Supplier Network:*** Works with 2,500+ suppliers across diverse categories (Raw Materials, Packaging, Contract Manufacturing, Professional Services, Marketing and Sales Services)
    - ***Supplier Partnerships and Sustainability:*** Through Pharmaceutical Supply Chain Initiative (PSCI), Pfizer collaborates with suppliers to implement EHS improvements, conduct energy assessments, harmonize sustainability etc.
    - ***Supplier Diversity:*** Pfizer actively seeks diverse suppliers - small businesses, minority owned etc., strengthening communities and reducing supply chain risks through diversification.
    - ***Cost Management:*** Pfizer’s procurement organization contributed to achieving $4B in net cost savings in 2024 through strategic sourcing, contract optimization and supplier consolidation.
- **Competitive Differentiation:** Pfizer's procurement sophistication—combining strategic sourcing, supplier development, sustainability initiatives, and cost management—creates supply chain advantages that improve reliability, reduce costs, and mitigate risks. Smaller pharmaceutical companies lack the scale and expertise to achieve similar supplier relationships and terms.

Business Model Canvas

Key Partners

- **R&D Alliances:** BioNTech (mRNA), Seagen (oncology), Flagship Pioneering (drug discovery).
- **Logistics & Distribution:** Major wholesalers (McKesson, Cardinal Health) and logistics providers (DHL, FedEx, UPS).
- **Technology:** NVIDIA (AI in drug discovery), IBM (IT infrastructure).
- **Public Health:** Access programs and partnerships for lower-income countries

Key Activities

- **R&D:** Drug Discovery, Clinical Trials, Regulatory Approvals.
- **Manufacturing & Quality Control:** 58 global manufacturing sites, ensuring GMP compliances.
- Marketing & Medical Education
- Supply Chain Management
- Patient Support Services

Key Resources

- **Intellectual:** Patent Portfolio, R&D Pipeline
- **Human:** 81,000+ global workforce
- **Physical:** Global Manufacturing Sites, 11 Distribution centers.
- **Financial:** Strong Finances funding R&D and acquisitions
- **Technology:** AI Platforms, mRNA tech, digital infrastructure.

Value Proposition

- **For Patients:**
  - Access to innovative, life-saving/improving medicines; patient assistance programs; trust in brand safety and quality
- **For Healthcare Providers:**
  - Evidence based, high-quality therapeutics (robust clinical data); comprehensive product portfolio; professional education and support.
- **For Government & Payers:**
  - Cost-effective disease prevention; transparent; value based contracts.

Customer Relationships

- **Dedicated Personal Assistance:** Patient support programs
- **Direct & Digital Engagement:** D2C platforms, Social Media, Email marketing (30%+ digital interactions)
- **Self-Service:** Online portals and mobile apps for patients & HCPs.
- **Community Building:** Patient Advocacy groups

Channels

- **Direct:** Global Sales force, Medical Science Liaisons, D2C platforms
- **Indirect:** Wholesale distributors (45% of sales), retail pharmacies (CVS, Walgreens), hospital networks (28% of revenue)
- **Digital:** Pfizer.com, E-Commerce, Telehealth integrations.

Customer Segments

- **Primary**
  - **Healthcare Providers:** Physicians, Hospitals and Clinics (segmented by Specialty, Prescribing Volume)
  - **Patients:** Diverse groups of patients, segmented by Disease, Age, geographic location.
- **Secondary:**
  - **Pharma Distributors:** Key wholesalers (McKesson, Cardinal Health, AmerisourceBergen)
  - **Government & Payers:** Govt. agencies, managed care orgs, not-for-profit accesses.
  - **Research Institutions:** Academic and clinical trial partners.

Cost Structure

- High Fixed Costs: For R&D and drug discovery, manufacturing
- **Cost of Sales** - $17.85B - Manufacturing, Raw Materials, Production Overhead.
- **Sales & Marketing:** ~22%-25% of Revenue - Sales Force, Promotional Campaigns, D2C advertising
- **Research & Development** - $10.93B - Drug Discovery, Clinical Trials (17.5% of Revenue)
- **General & Administrative** - 10%-12% of revenue - Corporate Overheads, IT, Compliance.
- **Financing Costs** - Debt Servicing (e.g.: for Seagen Acquisition)

Revenue Streams

- **Pharma Product Sales (~95%):** Diversified portfolio, with top 10 contributing to 63% of revenue.
- **Alliance & Royalty Revenue (~$1B):** Co-marketing & outlicensing.
- **Government Contracts:** Advance Purchase commitments, public health access.
- **Revenue Model:** Prescription based sales with a global tiered pricing strategy (Premium, Emerging, Not-for Profit).

Customer Segments

- ***Primary Customer Segments:***
  - **Healthcare providers:** Physicians, Hospitals and Clinics make up the company's primary customers who make prescribing decisions. In 2024, the company engaged with 200,000 healthcare providers and 1,800 hospitals in India alone. Pfizer segments this group by *specialty, practice setting and prescribing volume*
  - **Patients:** Highly diverse segment accessed through D2C channels, segmented based on age groups, disease areas, socioeconomic status and geographic locations.
- **Secondary Customer Segments:**
  - **Pharma Distributors:** 3 largest wholesalers - McKesson (12% of Total Revenue), Cardinal Health (9% of Total Revenue) and Amerisource Bergen (8% of Total Revenue) - collectively account for 29% of revenue. Purchase products in bulk and distribute to pharmacies and healthcare facilities. Values reliable supply, favorable payment terms and logistical support.
  - **Government Health Programs and Payers:** Government agencies and managed care organizations negotiate pricing and formulary inclusion. Pfizer provides its portfolio on a not-for-profit basis to 45 lower income countries reaching 1.2 billion people.
  - **Research Institutions:** Academic medical centers and research organizations collaborate on clinical trials and post-market studies.

Value Proposition

- ***For Patients:***
  - **Life Saving and Life Improving Medicines:** Access to innovative, breakthrough therapies for serious conditions like Cancer, heart disease and infectious diseases. These medicines extend lives, improve quality of life and reduce symptoms.
  - **Comprehensive Patient Support:** Pfizer maintains various patient assistance programs (such as Pfizer RxPathways - offering free medicines for eligible patients).
  - **Safety and Quality Assurance:** 175 years of reputation is built with quality and this creates trust. Rigorous testing, GMP compliance and global regulatory approvals assure patients of their safe treatment and effective medicines.
- ***For Healthcare Providers:***
  - **Evidence Based, High Quality Therapeutics:** Physicians value Pfizer's robust clinical trial data, peer-reviewed publications and real-world evidence demonstrating efficacy and safety.

- **Comprehensive Product Portfolio:** Pfizer offers treatment across multiple therapeutic areas - offering consolidated suppliers, simplifying procurement while maintaining quality consistency.
- **Professional Education and Support:** Provides continuing medical education, thought leadership at conferences, and Medical Science Liaisons answering to clinical questions, helping clinicians stay abreast with current medical advances.

- ***For Governments and Payers:***
  - **Cost-Effective Disease Prevention and Management:** Though Pfizer's products are sold at premium prices, total healthcare cost anayses often demonstrate favorable value propositions (E.g.: Prevnar 13 prevent costly hospitalizations etc.)
  - **Transparent Collaborations:** Pfizer engages with payers through value-based contracts, real-world evidence generation and collaborative disease management programs.

Channels

- ***Direct Channels:***
  - **Sales Representatives:** Pfizer employs 1000+ pharma sales representatives globally, building relationships with physicians through Office visits, educational programs, and other means.
  - **Direct-to-Physicians:** For a few products (Prevnar 13), improving margins and better demand forecasting.
  - **Website:** PfizerForAll platform (D2C platform) for direct customer sales.
  - **Medical Scheme Liaisons (MSLs):** PhDs and MDs engage with key opinion leaders and conduct scientific presentations, and support investigator-initiated research.
- ***Indirect Channels:***
  - **Wholesale distributors:** Account for 45% of Pfizer's sales through 3 major wholesalers.
  - **Retail pharmacies:** Account for nearly 22% of sales through pharmacy networks like CVS, Walgreens and independent pharmacies. Pfizer maintains partnerships with ~4,500 U.S. pharmacies.
  - **Hospital Networks:** Account for approx. 28% of revenue, useful for inpatient medications, vaccine administration in clinical settings, etc.
  - Pfizer also partners with FOGSI, IMS, ISOPARB, etc. to enable co-promotion of its products and partners with 20+ corporates, for adult vaccination.
- ***Digital Channels:***
  - **Pfizer.com :** Company's Website attracts 5+ million unique visitors annually, providing various details about the company and its products.

- **E-Commerce partnerships**, **Telehealth integrations** and **Social Media** are prominent digital channels used by Pfizer.

Customer Relationships

- ***Dedicated Personal Assistance and support programs:***
  - Pfizer provides individualized assistance through multiple programs - Pfizer RxPathways (comprehensive suite supporting start to end patient assistance).
  - Providing free medicines to uninsured and underinsured individuals meeting income criteria.
- ***Self-Service Digital Tools:***
  - Online portals, websites and mobile applications enable patients and providers to access information, enroll in assistance programs, and manage prescriptions.
- ***Direct Patient Engagement:***
  - *PfizerForAll.com* platform provides convenient access to telehealth, prescription and education, providing direct education and building relationships. Patient Education Initiatives are undertaken to empower patients as informed partners in their care.
- ***Automated Services:***
  - Digital engagement strategies, social media interactions, and email campaigns maintain regular communication with patients and healthcare communities.
  - Email Marketing, Chatbots and Digital Assistants, Mobile Apps empowers personalization of services.
  - Over 30% interactions now occur via digital channels (targeting 50% by FY2026 as per Pfizer Global Digital Mandate).
- ***Communities:***
  - Collaborations with health organizations, patient advocacy groups and loyalty programs foster engaged communities invested in health and wellness.
  - E.g.: Informed patient groups such as Listen to Your Heartbeat.

Revenue Streams

- ***Primary Revenue Streams:*** Pharmaceutical Product Sales account for ~95% of revenue.
  - ***Blockbuster Products*:**
    - Top 10 medicines and vaccines generated approximately $40 billion in 2024 (63% of Total Revenue)
  - ***Portfolio Diversification*:**
    - Beyond blockbuster products, Pfizer's broad portfolio (~23B in aggregate from other products) provides revenue stability.

- ***Secondary Revenue Streams:***
    - **Royalty Revenues:** Earned ~ $1B in FY 2024 through out-licensed products and partnership arrangements (E.g. Xtandi alliance with Astellas)
    - **Alliance Revenue:** Co-Marketing arrangements split profits or share revenues based on contractual terms. (Eliquis with Bristol Myers Squibb).
    - **Government Contracts:** Direct procurement by Govt agencies for public health programs, provided by - Large Volume Orders, Advance Purchase Commitments (negotiated below commercial rates)
- ***Emerging Revenue Streams:***
    - **Direct-to-Consumer Sales:** PfizerForAll.com enables limited direct sales. Provides higher margins (no distributors/pharmacy markups), subscription potential for chronic medications.4
- ***Revenue Model Characteristics:***
    - **Prescription-Based Sales:** Most revenue comes from physician-prescribed medications reimbursed by insurance. This creates predictable demand, price insulations,
    - **Tiered Pricing Strategy:** Pfizer employs differential pricing - premium pricing in developed markets, middle tier pricing in emerging markets, not-for-profit pricing in 45 lower-income countries.

KEY STATISTICS

- ***Revenue by Therapeutic Area (2024):***
    - **Primary Care:** 47.7% (includes internal medicine, vaccines, COVID-19 products)
    - **Oncology** 24.5% (growing rapidly following Seagen acquisition; expected to reach 65% biologics contribution)
    - **Specialty Medicines:** $16.7B (includes Vyndaqel, Eliquis, rare disease treatments)
- ***Revenue by Geography (2024):***
    - **United States:** 35-40% (~$22-25B) - Highest per unit revenue
    - **Developed International:** 35-40% (~22-25B): Europe, Japan, Canada - Moderate Pricing
    - **Emerging Markets:** 20-25% (~$13-$16B): China, India, Latin America, Africa - Lower Pricing but high growth potential
- **2024 performance:**
    - **Total Revenue:** $63.6 Billion (7% YoY operational growth)
    - **Non-COVID Revenue Growth:** 12% operational.
    - **Adjusted Diluted EPS:** $3.11 per share

Key Activities

- ***Research & Development:*** Consuming ~$10.8B in 2024 across 100+ R&D projects spanning across therapeutic areas. The company operates multiple R&D facilities globally with 95 projects in clinical development.
- ***Manufacturing & Quality Control:*** Operates 58 global manufacturing sites, producing over 30 billion doses annually; with every batch undergoing rigorous testing, ensuring stability, potency and purity, compliance with GMP regulations.
- ***Supply Chain & Distribution Management:*** Manages sophisticated global supply chains (11 distribution centres with 175+ country touchpoints), specialised cold chain management (partnerships with specialised logistics providers to ensure temperature-controlled delivery), and leverages advanced analytics and AI to optimize inventory levels.
- ***Marketing & Medical Education:*** Extensive sales force engaging with physicians, leverages direct, indirect and digital channels to cater to multiple customer segments; leverages on its D2C channel to raise disease awareness; participates in medical conferences (30+ annually), presenting its clinical trial results, etc.
- ***Regulatory Affairs & Compliance:*** Managing complex regulatory approvals across global markets, achieving nine FDA approvals in 2023.
- ***Patient Support & Services:*** Provides patient assistance programs, 24/7 medical information services, personalized medication supports through its digital interface.

Key Resources

- ***Intellectual Resources:*** Extensive Patent Portfolio protecting innovative medicines and vaccines, with and R&D pipeline of over 50 oncology programs in development. The company has deep knowledge in drug discovery, biologics, vaccine technology etc.
- ***Human Resources:*** Approximately 81,000+ Global workforce spanning across roles such as scientists, sales representatives, manufacturing technicians, legal team, medical affairs team, quality assurance team, finance professionals.
- ***Physical Assets:*** 58 global manufacturing sites; 11 strategically located distribution and logistics centres; R&D labs spread across the globe.
- ***Financial Resources:***
    - **Strong Balance Sheet** with $50.36 billion in current assets, $12.74 billion operating cash flow in 2024.
    - **Substantial Revenue** with ~$63B for FY 2024, aiding it in funding R&D, acquisitions, providing returns to shareholders etc.
- ***Technology Platforms:***
    - AI and Machine Learning Capabilities, mRNA vaccine technology through BioNTech partnerships, Antibody Drug Conjugates (ADC) platforms, and digital infrastructure.

Key Partnerships

- ***Strategic R&D Partnerships:***
    - **BioNTech Collaboration:** Multi-year partnership beginning in 2018 for influenza vaccine development, expanded in 2020 for COVID-19 vaccine, and expanded its technology to develop mRNA-based vaccines.
    - **Seagen Integration:** Following the acquisition, it strengthened Pfizer's oncology portfolio, expected to contribute over $10B in risk-adjusted revenues by 2030.
    - ***Flagship Pioneering ("Innovative Supply Chain"):*** $50 million upfront commitment each from Pfizer and Flagship to co-develop 10 drug candidates leveraging Flagship's ecosystem of 40+ startups.
- ***Logistics & Distribution Partnerships:*** Partnerships with DHL, FedEx, UPS and major wholesalers enabling global product distribution. These benefits Pfizer by providing it access to nationwide distribution infrastructure, Inventory financing, Reverse Logistics and Market Intelligence. Though capturing margins, it is offset by offering scale efficiencies and market access.
- ***Supplier & Manufacturing Partnerships:*** Though not partnerships, the relationships with 300+ global suppliers providing raw materials, APIs and contract manufacturing services ensure supply chain resilience.
- ***Technology & Infrastructure Partnerships:*** Partnership with NVIDIA to expedite drug discovery and development using AI; with IBM for mission-critical SAP workloads (migrate 46+ TB of data 10 hours faster).
- ***Access & Public Health Partnerships:*** Innovative partnerships bringing medicines and vaccines to remote African communities via drone tech; long term collaboration with lower income countries to provide them with required vaccines.

Cost Structure

- ***Cost of Sales:*** $17.85B in 2024, representing the largest operating expense category, covering manufacturing costs, raw materials, and production overhead.
- ***R&D:*** $10.93B in 2024 (17.5% of Revenue), the third largest but strategically most crucial expense, supporting long-term growth through drug discovery and clinical trials.
- ***Sales & Marketing:*** Eats up ~22-25% of revenue. Its strategic role lies in promotional campaigns, patient awareness programs, HCP engagement.
- ***General & Administrative:*** 10-12% of revenue, used for corporate overheads, compliance costs and IT related costs. Lowers costs are due to manufacturing efficiency, supply chain optimization
- ***Interest & Financing Costs:*** Debt servicing costs including $31B for new long-term debt for Seagen acquisition financing and much of this cost is used up for repayment obligations.
- **Cost Structure Philosophy:** Pfizer's costs structure reflects a value-driven model
    - High R&D investment funds innovation pipeline

- Premium Manufacturing Quality maintains brand reputation despite higher costs
- Comprehensive Patient Services enhance value proposition despite reducing short-term profitability
- However, Pfizer balances value investment with rigorous cost management
  - Manufacturing optimization - Aim to target savings of $1.5B by 2027.
  - Digital Transformation & AI - 10% operational cost reduction, targeting annual impact of $2B by 2026).

This balanced approach maintains competitive differentiation while improving operating margins and profitability - critical as Pfizer transitions from COVID-driven revenues to pre-pandemic operating margins.

Conclusion

The integration of Porter's Value Chain analysis with the Business Model Canvas reveals how Pfizer's operational activities enable competitive advantage in the global pharmaceutical industry.

Value Chain Enablement of Business Model

Pfizer's primary value chain activities directly support its business model value propositions. The company's $10.8 billion R&D investment and AI-integrated technology development enable innovation-focused value propositions for patients and healthcare providers. Manufacturing operations across 58 sites producing 30 billion doses annually support reliability and scale required to serve 125+ countries. Sophisticated outbound logistics partnerships with major wholesalers enable accessible delivery channels critical for global patient reach.

Support Activities as Strategic Enablers

Support activities provide the foundation enabling primary activities to create competitive advantage. Human resource management's competency-based approach maintains the skilled workforce necessary for complex pharmaceutical operations. AI and machine learning integration creates operational efficiencies, reducing development timelines and manufacturing cycle times by 67% for critical processes. Procurement relationships with 300+ suppliers and partnerships like Flagship Pioneering provide resource flexibility supporting current operations and future growth. Firm infrastructure ensures compliance and trusts essential to value propositions across all customer segments.

Core Strengths of the Integrated Model

Three interconnected strengths emerge from analysing both frameworks:

Innovation Excellence: Value chain emphasis on R&D combined with technology development directly enables breakthrough medicine value propositions. With 95 clinical projects and strategic acquisitions like Seagen adding 30 programs, Pfizer maintains robust pipeline delivering long-term growth.

Operational Scale and Efficiency: Manufacturing and distribution activities, supported by procurement and technology development, create economies of scale enabling competitive cost structures while maintaining quality standards.

Strategic Partnerships: Key partnerships—BioNTech, Seagen, and Flagship Pioneering—are directly supported by value chain activities in technology development and procurement, filling capability gaps while leveraging Pfizer's manufacturing scale and global distribution strengths.

Sustainable Competitive Advantage

Pfizer's integrated model creates sustainable advantage through differentiation strategy enabled by innovation-focused activities, capital-intensive operations creating entry barriers, and network effects from established relationships creating switching costs that protect market position.

Future Outlook

Pfizer's model aligns to address emerging opportunities while managing challenges. Emphasis on oncology, metabolic diseases, and vaccine innovation positions growth in high-value therapeutics. Cost realignment targeting $4.5 billion savings by 2025 will improve margins while maintaining R&D investments. Success depends on continued pipeline productivity, successful asset integration, and navigating patent expirations for key products.

In conclusion, Pfizer's value chain activities and business model components are mutually reinforcing, creating a comprehensive system that delivers breakthrough medicines globally while generating sustainable returns. The company's ability to leverage scale, innovation capabilities, and strategic partnerships through coordinated operational activities positions it to maintain pharmaceutical industry leadership and achieve its purpose of "Breakthroughs that change patients' lives".